

Bullish Chart Patterns - Day 2

Seven bullish reversal and continuation patterns with schematic levels.

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NISM Certified | 21 Years of Experience

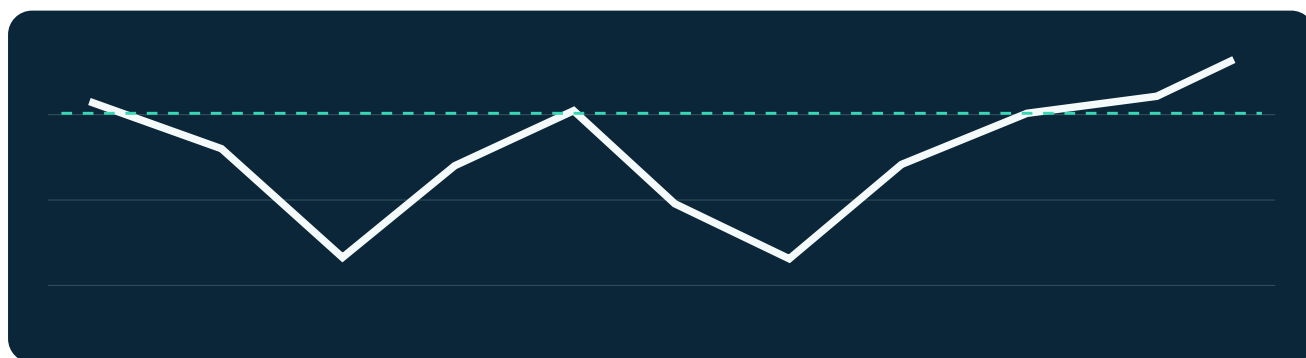
Educational illustrations and plain-English explanations. Review the examples with your own chart and risk plan.

Before the patterns

A chart pattern has more meaning when you know what price was doing before it formed. The diagrams below show ideas, not historical prices.

An uptrend tends to form higher highs and higher lows; a downtrend, lower highs and lower lows. A range moves between support and resistance. Reversal and continuation formations require that prior context.

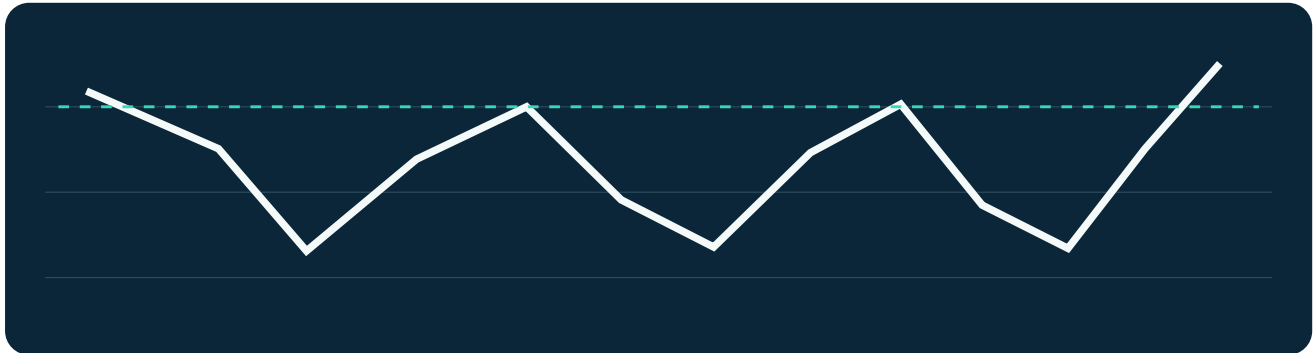
01 Double Bottom



Two lows form near the same support area. The intervening high marks the neckline.

Watch for a sustained move above the neckline. The depth from support to neckline gives an illustrative measured move; a return below support weakens the setup.

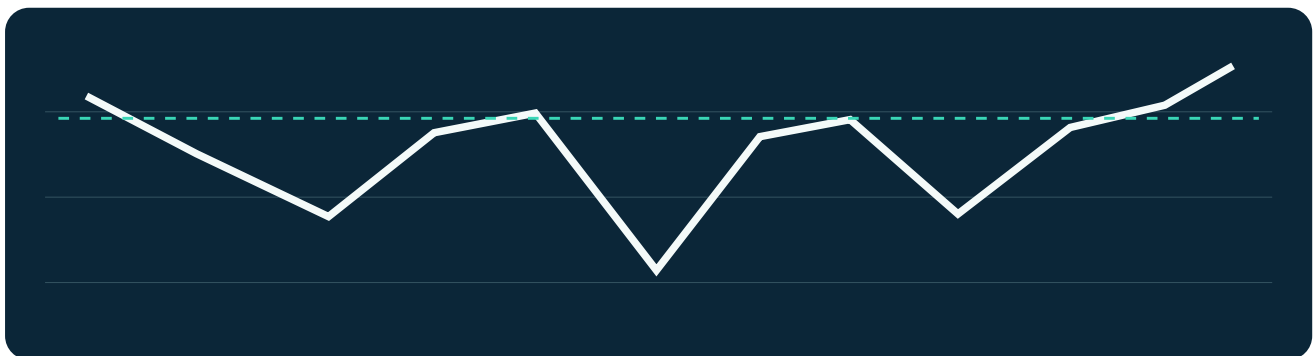
02 Triple Bottom



Three troughs form around a common support zone with rallies between them.

The resistance formed by the intervening highs is the neckline. A breakout may signal a change in trend; the neckline-to-low distance is a rough projection, not a price promise.

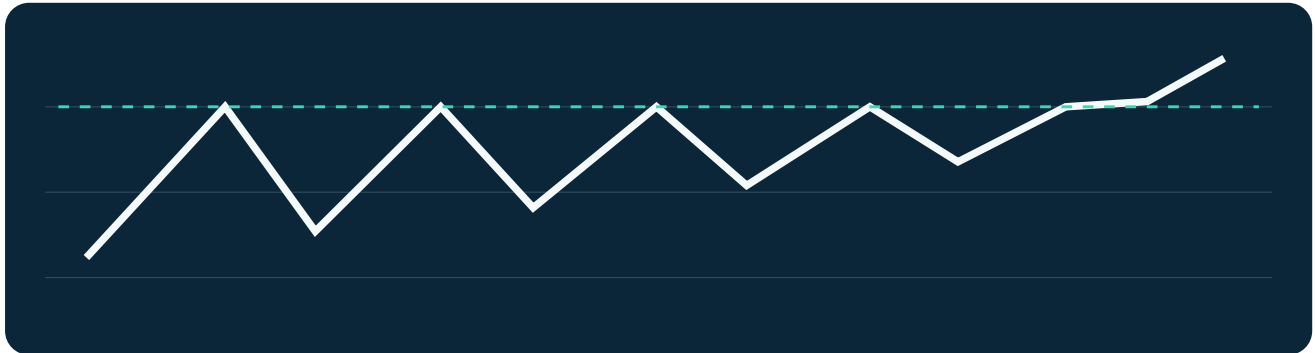
03 Inverse Head & Shoulders



A deeper middle low (head) sits between two shallower lows (shoulders) after a decline.

Connect the reaction highs to form the neckline. A break above it is the confirmation area; the head-to-neckline depth illustrates the measured move. Retests and failed breaks can occur.

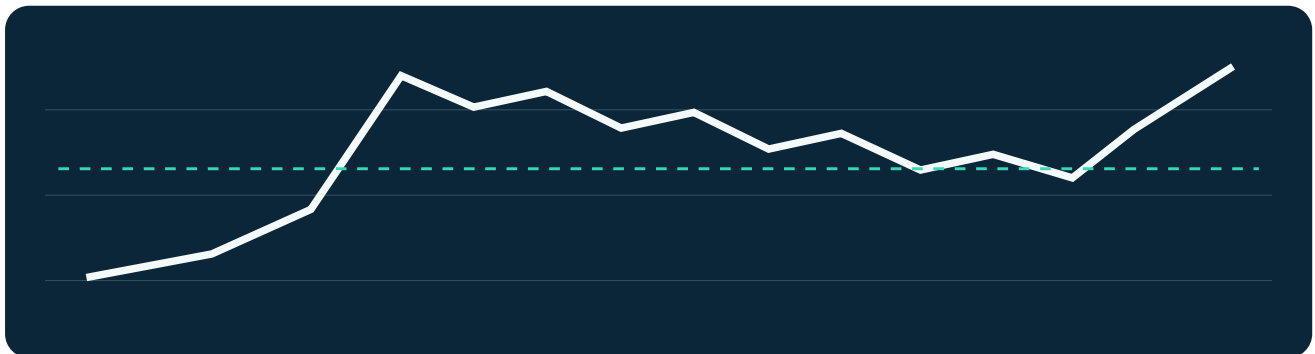
04 Ascending Triangle



Repeated highs press against a roughly flat resistance level while successive lows rise.

A move through resistance can resolve the compression upward. The initial triangle height is sometimes projected from breakout, but price may also break down or stall.

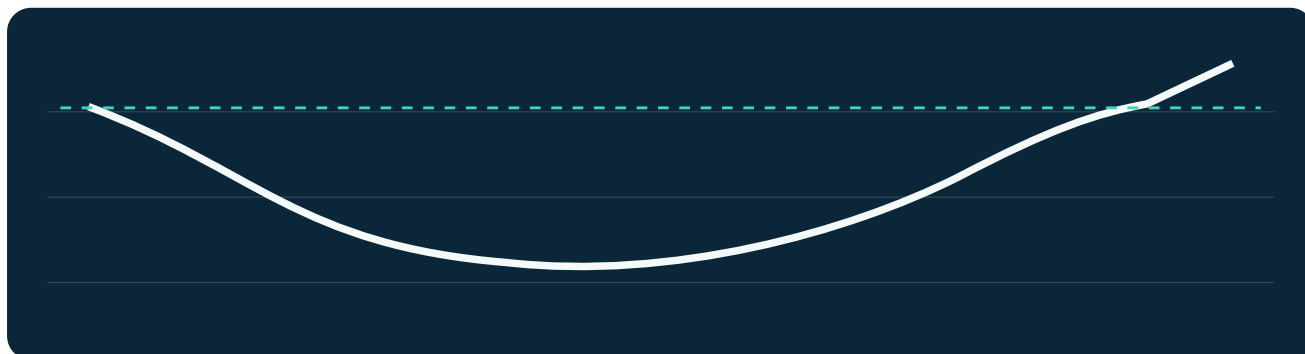
05 Bullish Flag



A sharp upward move forms a pole, then price pauses inside a short downward-sloping channel.

A break above the flag channel suggests the prior trend may resume. The pole can be used as a visual measurement; a break below the channel challenges the continuation idea.

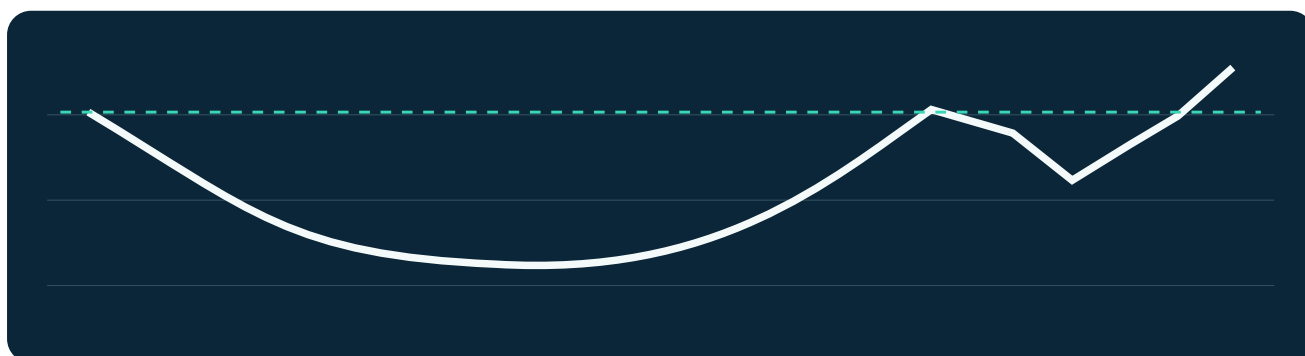
06 Rounding Bottom



A decline gradually flattens into a broad base before price begins to climb again.

The prior high area can serve as a neckline. A breakout may support a trend change; the base depth is only an illustrative distance. Formation takes time and may be uneven.

07 Cup & Handle



A rounded recovery returns to a prior high, followed by a smaller pullback called the handle.

Traders commonly watch the rim or handle resistance for a breakout. The cup depth offers a possible measured move, while a deep handle or failure under resistance reduces confidence.

A practical reading checklist

- Identify the prior trend and the nearest relevant level.
- Check the shape, close and follow-through; a pattern can fail.
- Define the price action that would invalidate the idea before deciding risk.

This guide is original AlphaEdge learning material based on the web lessons. The diagrams are schematic, not historical market prices. No entry, target or return is guaranteed.